

7-2c The Post-Bretton Woods System (1973-present)

By the late 1960s and early 1970s, a combination of rising productivity elsewhere and US inflationary policies led to the demise of the Bretton Woods system. First, (West) Germany and other countries caught up in productivity and exported more, and the United States ran its first post-1945 trade deficit in 1971. This pushed the (West) German mark to appreciate and the dollar to depreciate—a situation very similar to the yen–dollar relationship in the 1980s and the yuan–dollar relationship in the 2000s. Second, in the 1960s, in order to finance both the Vietnam War and Great Society welfare programs, President Lyndon Johnson increased government spending, not by additional taxation, but by increasing money supply. These actions led to rising inflation levels and strong pressures for the dollar to depreciate.

As currency traders bought more German marks, Germany's central bank, the Bundesbank, had to buy billions of dollars in order to maintain the dollar/mark exchange rate fixed by Bretton Woods. Being stuck with massive amounts of the dollar that was worth less now, Germany unilaterally allowed its currency to float in May 1971.

The Bretton Woods system also became a pain in the neck for the United States, because the exchange rate of the dollar was not allowed to unilaterally change. Per Bretton Woods agreements, the US Treasury was obligated to dispense one ounce of gold for every US\$35 brought by a foreign central bank, such as the Bundesbank. Consequently, there was a hemorrhage of US gold flowing into the coffers of foreign central banks. In August 1971, in order to stop such hemorrhage, President Richard Nixon unilaterally announced that the dollar was no longer convertible into gold. After tense negotiations, major countries collectively agreed to hammer the coffin nails of the Bretton Woods system, by allowing their currencies to float in 1973. In retrospect, the Bretton Woods system had been built on two conditions:

- (1) the US inflation rate had to be low and
- (2) the US could not run a trade deficit.

When both these conditions were violated, the demise of the system was inevitable.

As a result, today we live in the

post-Bretton Woods system ([A system of flexible exchange rate regimes with no official common denominator.](#))

. The strengths lie in its flexibility and diversity of exchange rate regimes (ranging from various schemes of floating systems to various ways of fixed rates). Its drawback is turbulence and uncertainty (see [In Focus 7.1](#) and the [Closing Case](#)). Since the 1970s, the

US dollar has no longer been the official reserve currency. However, it has retained a significant amount of “soft power” as a key currency (see [Figure 7.1](#)).

Chapter 7: Dealing with Foreign Exchange: 7-2c The Post-Bretton Woods System (1973-present)

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